



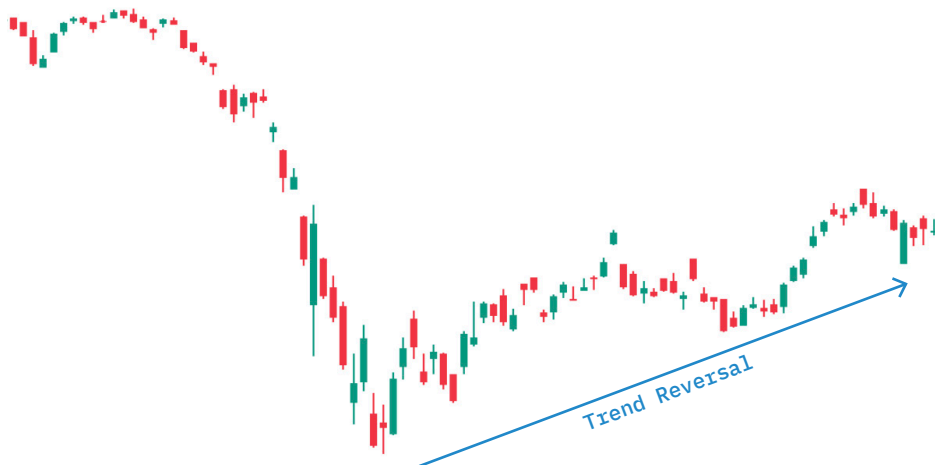
Notice how the RSI makes a W like structure. I will buy the stock when the RSI makes the W like structure and re-enters above the 30 level.

A little way down the line, this setup generates a bearish trading signal when the RSI comes below the 70 levels by making a M like structure.

CONCLUSION



In conclusion, the M&W positional trading strategy with the Relative Strength Indicator offers a direct and effective approach for holding stocks for a longer period of time. This strategy leverages RSI's ability to identify overbought and oversold conditions in order to find potential reversals.



The trading signals can take longer to generate as we are using the daily timeframe. But by waiting patiently, you can potentially catch significant trend reversals using this strategy. *It is also important to remember that no trading strategy is foolproof and you, as a trader, should always use effective risk management techniques.*